EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Buguey was founded and created on May 20, 1623 as a town by virtue of the Royal Decree issued by the King of Spain. The Municipality is situated at the northern part of the Province of Cagayan. It is bounded on the north by the Babuyan Channel, on the south by the Municipality of Lal-lo, on the east by the Municipality of Sta Teresita (former part of Buguey) and on the west by the Municipality of Aparri.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Buguey for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Buguey, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase/ (Decrease)
Financial Position			
Assets	241,740,617.23	264,160,239.91	(22,419,622.68)
Liabilities	72,900,965.44	98,707,683.97	(25,806,718.53)
Government Equity	168,839,651.79	165,452,555.94	3,387,095.85
Financial Performance			
Income	150,181,787.76	140,786,389.04	9,395,398.72
Expense	136,640,568.27	140,209,126.51	(3,568,558.24)
Appropriations, Allotments and Obligation			
Appropriations	156,320,055.20	152,518,663.19	3,801,392.01
Allotments	156,320,055.20	152,518,663.19	3,801,392.01
Obligations	148,235,717.22	145,463,476.81	2,772,240.41

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered an Adverse Opinion on the fairness of presentation of the financial statements of the Municipality of Buguey, Cagayan for the year-ended December 31, 2021 due to: (1) unreliable and incomplete Report on Physical Count on Property, Plant and Equipment as of December 31, 2021; (2) unsupported adjusting journal entry made to the Government Equity account involving an amount of P7,609,293.58; (3) existence of bank reconciling items reflected in the Bank Reconciliation Statements amounting to P2,880,742.11, which remained unadjusted for a long period of time; (4) unsubmitted disbursement vouchers, together with supporting documents, covering twenty-five (25) checks amounting to P3,031,555.76, hence, precluded the Auditor in verifying the validity, legality, and propriety of the transactions; (5) cash deficit of P5,714,952.62, leaving current liabilities and trust obligations without cash back-up.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The balance of Due to NGA - Department of Health account in the books of the Municipality as at December 31, 2021 for the implementation of various program and projects showed a discrepancy of ₱1,691,409.32, hence the accuracy and reliability of the said account could not be ascertained, which is inconsistent with Section 111 of Presidential Decree 1445, thus, needs to be reconciled with the records of the DOH, Regional Office No. 2 (RO 2).

   We recommended that the Municipal Accountant reconcile the Municipality's record with DOH RO 2 and ensure the timely submission of the required liquidation reports to DOH RO 2 to settle this liability pursuant to Section 111 Presidential Decree No. 1445.

2. Negative/abnormal balances remained uncorrected in the subsidiary ledgers of some liability accounts amounting to (P865,874.86), which is not in consonance with Section 27 of the Philippine Public Sector Accounting Standards 1, thus, affecting the reliability of the ending balances of said accounts and the fair presentation of the financial statements.

   We recommended that the Municipal Accountant carefully analyze and reconcile the entries made on the accounts with negative/abnormal balances, and prepare the necessary adjusting entries to restore the correct balances of the assets and liability accounts.

3. Expenditures amounting to P1,997,179.82 charged against the Local Disaster Risk Reduction and Management Fund (LDRRMF) were not

related to prescribed disaster risk management expenses, contrary to Section 5.0 of NDRRMC-DBM-DILG Joint Memorandum Circular No. 2013-1 dated March 25, 2013, thereby rendering the transactions irregular and defeating the purpose for which the Fund was created.

We recommended that the Management utilize solely the LDRRM Fund to implement projects and activities under the legislated thematic areas, namely: 1) disaster prevention and mitigation; 2) disaster preparedness; 3) disaster response; and 4) disaster rehabilitation and recovery, as provided in Section 21 of RA 10121 and Section 5.0 of NDRRMC-DBM-DILG Joint Memorandum Circular No. 2013-1 dated March 25, 2013.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	29,083,522.96	-	-	29,083,522.96	
Current Year	-	-	-	-	
Total	**29,083,522.96**	**-**	**-**	**29,083,522.96**	
Disallowances					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	**-**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of sixteen (16) audit recommendations in the CY 2020 Annual Audit Report, six (6) were fully implemented, one (1) was partially implemented and nine (9) were not implemented.